Jentech Precision Industrial Co.

Removable lid adoption schedule pulled forward; assume coverage at OW

Overweight

3653.TW, 3653 TT
Price (29 Sep 26):NT$6,895.00

▲**Price Target (Dec-27):NT$7,500.00**
Prior (Dec-27):NT$6,200.00

We assume coverage of Jentech at OW with a Dec-27 PT at NT$7,500, based on 30x 2028E P/E. We are positive on the company's near-term and long-term earnings drivers including: (1) the adoption schedule of the 3-piece / removable lid design (removable lid + stiffener + multiple screws) could accelerate to 4Q26 with small production in Rubin GPU and mass production from 1Q27 for Rubin/Rubin Ultra, lifting lid content ~4–5x versus the current 1-piece design; (2) AMD MI450-series moves to a 2-piece lid from 4Q26, driving ~10x content versus MI350; (3) longer-cycle upside comes from CPO/NPO ramps with higher stiffener content; and (4) potential ASIC upgrades to higher-spec solutions. As Jentech's share price has rallied 108% in the past three months (vs. TWSE index +102%), we believe the above-mentioned positive factors have started to be reflected in the share price, making our PT upside less attractive (~10%) vs. other cooling component names.

- **No delay in 3-piece/removable lid adoption in Rubin Ultra, even pulling forward some volume in Rubin potentially from 4Q26/1Q27.** We continue to believe Nvidia's Rubin Ultra GPU will adopt the "removable lid + stiffener + multiple screws" design (or the so-called 3-piece lid design) with no delay or change, which should drive the heat spreader/lid content increase by 4-5x vs. the current 1-piece lid design for Rubin GPU. Based on our industry checks, Nvidia might even adopt this new design in small volumes of Rubin GPU potentially from 4Q26 for trial production, in order to ensure decent yield when entering mass production in the next gen (potentially in 1Q27). We believe the adoption schedule is slightly ahead of market expectations, which might provide near-term revenue/earnings upside for the 3-piece lid supplier.
- **Solid 3Q26 and more growth into 4Q26 and 1Q27 with MI450 2-piece lid ramp and initial removable lid contribution for Rubin/Rubin Ultra.** We estimate our 3Q26 revenue at NT$9.7bn (+33% QoQ and +91% YoY) with the decent ramp of Rubin GPU. As the shipment of Rubin 1-piece lid should remain at high volume into 4Q26, we believe the company's revenue momentum will also continue, with incremental growth from the mass production of AMD MI450 2-piece lid with ~10x content increase (vs. MI350 series). Hence, we are now modeling Jentech's 4Q26 revenue to further grow 7% QoQ. In addition, if the 3-piece/removable lid design could be adopted in small volume of Rubin GPU from 4Q26 and enter mass production from 1Q27 in Rubin Ultra GPU, we believe there could be further upside to the company's growth magnitude in the next few quarters.
- **Valuation re-rating already kicking off.** Jentech is now trading at ~50x 12M fwd P/E, at the high-end of its historical valuation range, but from the 2028E EPS-based perspective, it is only trading at 25-30x P/E. With a longer-term spec upgrade visibility, we apply a 30x 2028E P/E valuation to reflect the continued heat spreader content growth cycle in the next 2-3 years, with the higher-spec design adoption expanding from GPUs to more ASICs. Key risks include potential delay of the removable lid design and market share loss in the advanced-spec market.

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (NT$)	129.04	150.11	16.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT$)

	2025A	2026E	2027E
Q1	9.59	9.53A	25.41
Q2	7.85	15.80A	33.58
Q3	9.49	20.62	42.71
Q4	9.74	23.24	48.41
FY	36.68	69.18	150.11

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	87	96	60	67	59
Growth	9	4	4	50	16
Momentum	42	25	1	15	73
Quality	27	7	12	17	60
Low Vol	90	95	95	82	80

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	151.2%	19.2%	107.7%	214.1%
Rel	86.7%	16.4%	101.8%	129.6%

Company Data

Shares O/S (mn)	142
52-week range (NT$)	7,160.00-1,940.00
Market cap ($ mn)	30,893
Exchange rate	31.78
Free float (%)	49.9%
3M ADV (mn)	1.45
3M ADV ($ mn)	206.8
Volatility (90 Day)	74
Index	TAIEX
BBG ANR (Buy | Hold | Sell)	11|1|0

Key Metrics (FYE Dec)

NT$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	20,276	32,624	63,454	100,591
Adj. EBIT	6,498	12,509	27,617	46,477
Adj. EBITDA	7,146	13,259	28,465	47,418
Adj. net income	5,277	10,151	22,026	37,076
Adj. EPS	36.68	69.18	150.11	252.68
BBG EPS	36.16	68.44	145.80	239.50
Cashflow from operations	4,892	11,320	20,257	34,219
FCFF	1,041	9,408	18,625	32,588
Margins and Growth				
Revenue Growth Y/Y (%)	42.0%	60.9%	94.5%	58.5%
EBIT margin	32.0%	38.3%	43.5%	46.2%
EBIT Growth Y/Y (%)	71.1%	92.5%	120.8%	68.3%
EBITDA margin	35.2%	40.6%	44.9%	47.1%
EBITDA Growth Y/Y (%)	62.6%	85.5%	114.7%	66.6%
Net margin	26.0%	31.1%	34.7%	36.9%
Adj. EPS growth	52.4%	88.6%	117.0%	68.3%
Ratios				
Adj. tax rate	19.6%	20.3%	21.0%	21.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	28.0%	38.1%	57.7%	63.9%
Valuation				
FCFF yield	0.1%	0.9%	1.8%	3.2%
Dividend yield	0.2%	0.3%	0.6%	1.3%
EV/Revenue	48.0	29.6	15.0	9.3
EV/EBITDA	136.1	72.8	33.5	19.7
Adj. P/E	188.0	99.7	45.9	27.3

Summary Investment Thesis and Valuation

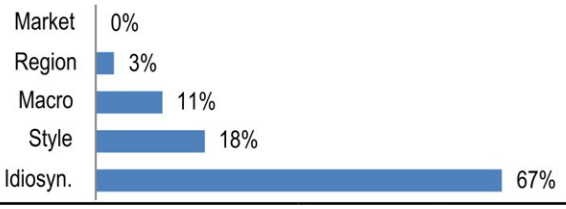
Investment Thesis

Jentech (OW) is the largest packaging-level cooling component maker worldwide, with leading production capabilities across heat spreader products (including stiffener and all kinds of lids). We expect the company to show an ~80% EPS CAGR over 2024-28, driven by solid heat spreader content growth in future-gen AI chips and increasing TAM into new solutions (e.g., CPO switch ASIC). In addition, the company is reinforcing its product portfolio with new offerings in cold plate and CPU server sockets for chip customers. We believe Jentech's technology leadership in the structural cooling upgrade trend and its new TAM expansion will continue to support its superior earnings power in the long term.

Valuation

Our Dec-27 PT of NT$7,500 is based on 30x 2028E P/E, which is largely in line with Jentech's three-year average P/E when the AI server boom started.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.00	0.04
Region: Taiwan	0.34	0.20
Macro:		
Citi Economic Surprise - EM	0.18	0.21
Generic 1st 'CO' Future	-0.11	-0.20
JPM China A-shares Sentiment	0.06	0.20
Quant Styles:		
Quality	0.24	0.34
Growth	0.18	0.23
Momentum	0.13	0.13

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Earnings estimates

JPM's above-consensus forecasts

Our 2026E/27E/28E EPS forecasts are 1%/3%/6% above Bloomberg consensus, reflecting 1) faster adoption of the removable lid design in 4Q26/1Q27 for Nvidia Rubin/Rubin Ultra GPU with 4-5x content increase vs current 1-piece lid, 2) better heat spreader spec upgrades in future GPUs and ASICs, and 3) more meaningful CPO/NPO ramp with higher-spec solutions being adopted.

Table 1: J.P. Morgan estimates vs Bloomberg consensus

	JPMe					Bloomberg					Diff				
(NT$M)	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E
Sales	9,666	10,379	32,624	63,454	100,591	9,750	10,446	32,188	59,918	88,562	-1%	-1%	1%	6%	14%
Gross profit	4,572	4,953	15,147	31,747	52,327	4,749	5,156	15,242	30,562	46,345	-4%	-4%	-1%	4%	13%
GM	47.3%	47.7%	46.4%	50.0%	52.0%	48.7%	49.4%	47.4%	51.0%	52.3%	-140 bps	-163 bps	-92 bps	-98 bps	-31 bps
Operating profit	3,789	4,274	12,509	27,617	46,477	3,822	4,352	12,619	27,888	42,927	-1%	-2%	-1%	-1%	8%
OPM	39.2%	41.2%	38.3%	43.5%	46.2%	39.2%	41.7%	39.2%	46.5%	48.5%	1 bps	-49 bps	-86 bps	-302 bps	-227 bps
Net Income	3,025	3,410	10,151	22,026	37,076	3,058	3,481	10,272	22,289	35,143	-1%	-2%	-1%	-1%	6%
EPS (NT$)	**20.6**	**23.2**	**69.2**	**150.1**	**252.7**	**20.8**	**23.7**	**68.4**	**145.8**	**239.5**	**-1%**	**-2%**	**1%**	**3%**	**6%**

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Key risks to our estimates

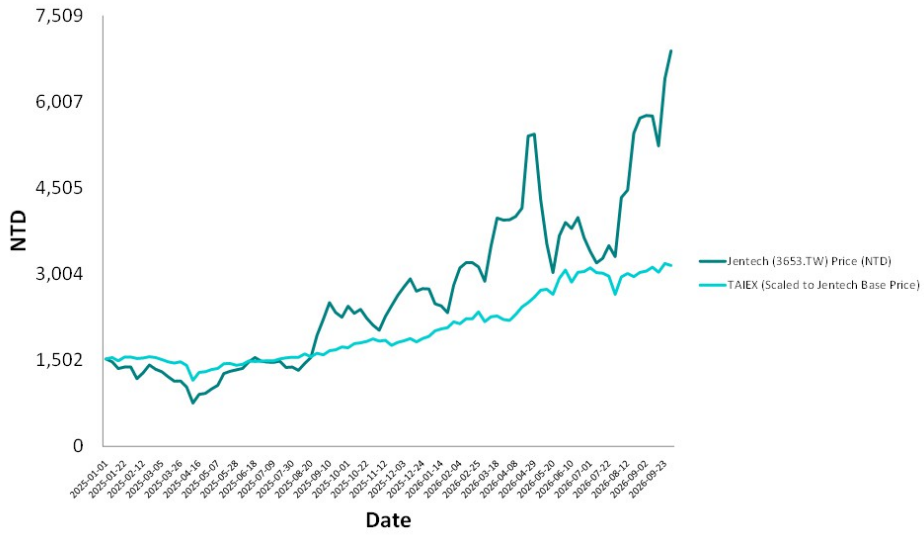
- **Potential delay in mainstream 3-piece/removable lid design adoption:** As the spec/TDP of Nvidia's Rubin Ultra GPU has not yet been finalized, there is still risk of the 3-piece/removable lid adoption if the chip spec improvement turns out to be limited. However, based on our recent industry checks, Nvidia might even adopt this new design in small volume of Rubin GPU potentially from 4Q26 for trial production, in order to ensure decent yield when entering mass production in the next gen (potentially in 1Q27), which would lower the risk.
- **Market share loss from competition:** Based on our supply chain checks, another Taiwanese heat spreader supplier, I-Chiun (2486 TT) has secured some CPU and ASIC stiffener projects. However, in terms of the AI GPU lid and other higher-spec projects (e.g CPO ASIC stiffeners), we think there is a huge gap between Jentech and other suppliers.

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Performance and valuation

Share price performance

Figure 1: Jentech's share price vs Taiex



Source: Bloomberg Finance L.P.

- In 2025, Jentech's share price underperformed in 1H given the market concerns of an AI bubble and potential heat spreader de-specing trend (from lid to stiffener). However, the share price outperformed from 2H given the new high-spec heat spreader designs (such as micro-channel lid, 2-piece lid, etc) potentially for Nvidia's future AI GPUs to enable TDP migration.
- In 1Q26, Jentech's share price continued outperforming the Taiex in the beginning with new TAM expansion opportunities from Nvidia's new solutions, especially the CPO related ones (e.g. Spectrum and Quantum ASICs). From the mid of 2Q26, the share price corrected meaningfully owing to the Rubin GPU design change from 2-piece lid back to 1-piece lid with only ⅓ of ASP.
- In 3Q26, Jentech's share price was still weak in the beginning among the overall market pullback from de-leveraging. However, it has rebounded rapidly from August thanks to 1) reported GM/EPS numbers beat, 2) smooth Rubin 1-piece lid ramp with ASP upside, and 3) more meaningful content value growth for Rubin Ultra GPU with 4-5x ASP vs the current 1-piece lid.

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Valuation

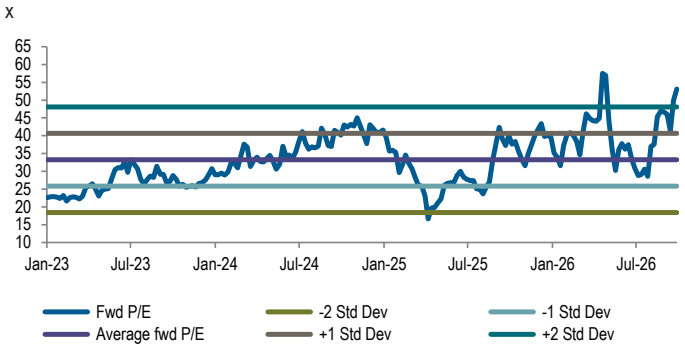
We derive our Dec-27 price target of NT$7,500 based on a 30x of 2028E P/E. This is largely in line with Jentech's historical average, as we expect the earnings upgrade cycle to support this valuation.

Table 2: Jentech's five-year trading multiples

x	P/E trailing	12M fwd P/E	P/B trailing	12M fwd P/B
Standard Deviation	20.5	7.4	6.3	4.2
Max	115.9	57.5	35.6	24.0
Minimum	18.5	16.6	4.8	4.2
Median	51.1	32.6	11.3	8.2
Average	53.4	33.2	12.8	9.5

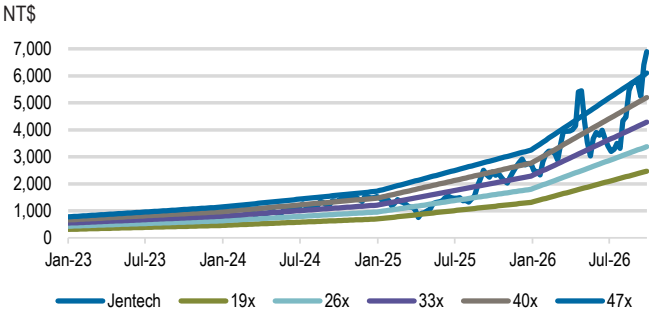
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: Jentech's 1yr fwd P/E vs. mean



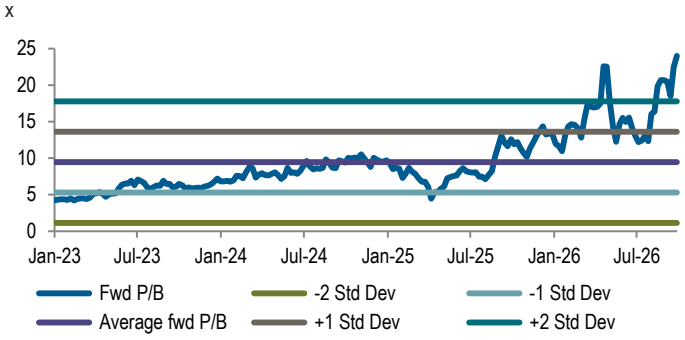
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: Jentech's 1yr fwd P/E



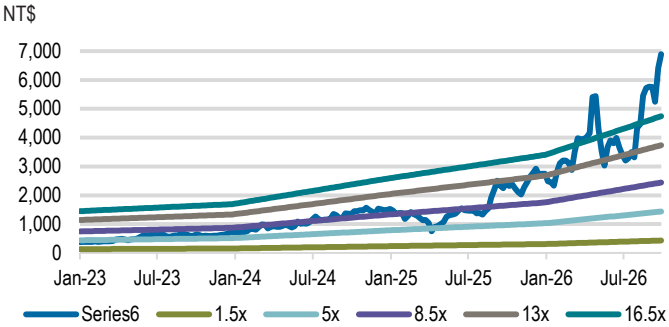
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 4: Jentech's 1yr fwd P/B vs. mean



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 5: Jentech's 1yr fwd P/B vs. mean



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

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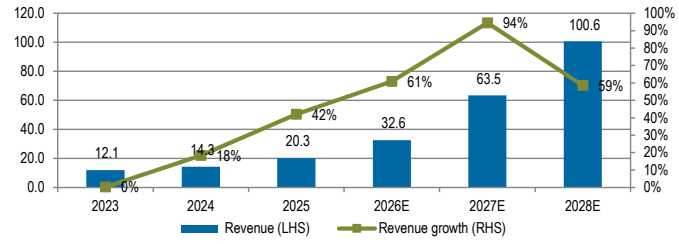
Financial analysis

We forecast Jentech's revenue to increase 61%/95%/59% YoY in 2026E/27E/28E, supported by the removable lid design for Nvidia Rubin/Rubin Ultra GPU with 4-5x content increase (vs current 1-piece lid), with continued heat spreader spec upgrades in future GPUs and ASICs. Also, the more meaningful CPO/NPO ramp with higher-spec solutions adopted also contributed to the solid growth.

Jentech's 2Q26 gross margin expanded to 47% thanks to continued QD yield enhancement. We believe the company's margin will continue to surprise to the upside in 2H26-2028, driven by the favorable product mix from stronger AI server product shipments, which should support our gross margin forecast of 47+%/50%/52% in 2H26E/2027E/2028E. The solid GM growth also serves as the key driver of our bottom-line EPS growth of 89%/117%/68% in 2026E/27E/28E.

Figure 6: Jentech's revenue and revenue YoY growth

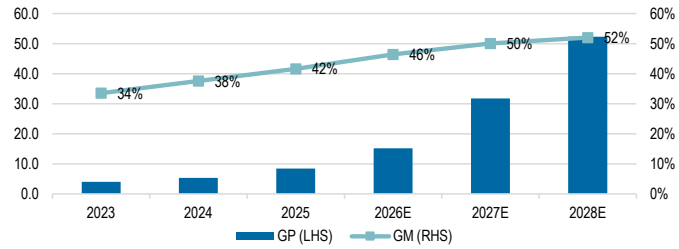
NT$bn, %



Source: Company data, J.P. Morgan estimates.

Figure 7: Jentech's GP and GPM

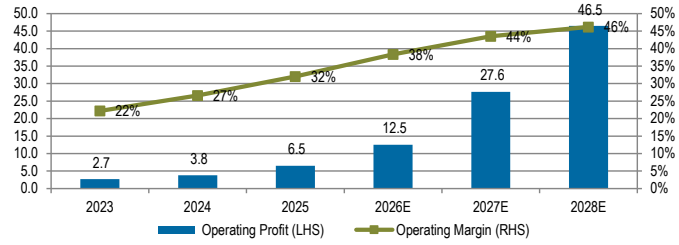
NT$bn, %



Source: Company data, J.P. Morgan estimates.

Figure 8: Jentech's OP and OPM

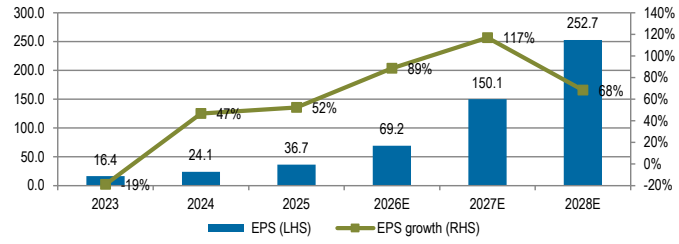
NT$bn, %



Source: Company data, J.P. Morgan estimates.

Figure 9: Jentech's EPS and EPS YoY growth

NT$bn, %



Source: Company data, J.P. Morgan estimates.

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Table 3: Income statement

	2024				2025				2026E				2027E				2028E								
(NT$ in Mn, year-end Dec)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2024	2025	2026E	2027E	2028E
Revenue	**2,864**	**3,401**	**3,593**	**4,420**	**4,752**	**5,181**	**5,070**	**5,272**	**5,305**	**7,275**	**9,666**	**10,379**	**11,230**	**14,372**	**17,887**	**19,965**	**21,073**	**23,595**	**26,219**	**29,704**	**14,278**	**20,276**	**32,624**	**63,454**	**100,591**
D&A	142	150	153	152	154	159	164	171	177	186	191	197	204	209	214	221	227	232	238	244	597	648	750	848	942
COGS	1,858	2,080	2,223	2,752	2,618	3,032	3,094	3,098	3,089	3,870	5,094	5,425	5,769	7,236	8,870	9,832	10,330	11,399	12,480	14,055	8,913	11,842	17,477	31,707	48,264
Gross profit	**1,007**	**1,321**	**1,370**	**1,668**	**2,134**	**2,149**	**1,976**	**2,175**	**2,217**	**3,405**	**4,572**	**4,953**	**5,462**	**7,136**	**9,017**	**10,133**	**10,743**	**12,196**	**13,739**	**15,649**	**5,365**	**8,434**	**15,147**	**31,747**	**52,327**
Operating expense	349	369	400	449	469	450	491	526	520	656	783	680	797	970	1,145	1,218	1,307	1,416	1,494	1,634	1,567	1,936	2,639	4,130	5,850
Operating income	**658**	**952**	**970**	**1,219**	**1,666**	**1,699**	**1,484**	**1,648**	**1,697**	**2,749**	**3,789**	**4,274**	**4,664**	**6,166**	**7,872**	**8,915**	**9,436**	**10,781**	**12,245**	**14,015**	**3,799**	**6,498**	**12,509**	**27,617**	**46,477**
Net Interest Income	30	32	11	11	14	14	5	21	24	37	40	42	56	71	60	77	100	121	100	134	83	54	143	264	455
Net Other Income	184	73	13	94	61	-387	233	147	55	55	0	0	0	0	0	0	0	0	0	0	364	54	110	0	0
Pre-tax profit	872	1,056	994	1,323	1,741	1,327	1,723	1,817	1,776	2,841	3,829	4,316	4,720	6,237	7,932	8,992	9,537	10,902	12,345	14,149	4,245	6,607	12,762	27,881	46,932
Tax expense (credit)	183	203	220	224	366	196	356	379	371	512	804	906	991	1,310	1,666	1,888	2,003	2,289	2,592	2,971	830	1,297	2,594	5,855	9,856
Net profit reported	**711**	**852**	**770**	**1,095**	**1,371**	**1,121**	**1,356**	**1,429**	**1,398**	**2,318**	**3,025**	**3,410**	**3,729**	**4,927**	**6,266**	**7,104**	**7,534**	**8,612**	**9,753**	**11,178**	**3,428**	**5,277**	**10,151**	**22,026**	**37,076**
EPS (NT$)	**5.0**	**6.0**	**5.4**	**7.7**	**9.6**	**7.8**	**9.5**	**9.7**	**9.5**	**15.8**	**20.6**	**23.2**	**25.4**	**33.6**	**42.7**	**48.4**	**51.3**	**58.7**	**66.5**	**76.2**	**24.1**	**36.7**	**69.2**	**150.1**	**252.7**
Margins (%)																									
Gross Margin	35.1	38.8	38.1	37.7	44.9	41.5	39.0	41.2	41.8	46.8	47.3	47.7	48.6	49.7	50.4	50.8	51.0	51.7	52.4	52.7	37.6	41.6	46.4	50.0	52.0
- Opex ratio	12.2	10.9	11.1	10.1	9.9	8.7	9.7	10.0	9.8	9.0	8.1	6.6	7.1	6.8	6.4	6.1	6.2	6.0	5.7	5.5	11.0	9.5	8.1	6.5	5.8
Operating Margin	23.0	28.0	27.0	27.6	35.1	32.8	29.3	31.3	32.0	37.8	39.2	41.2	41.5	42.9	44.0	44.7	44.8	45.7	46.7	47.2	26.6	32.0	38.3	43.5	46.2
EBITDA Margin	27.9	32.4	31.3	31.0	38.3	35.9	32.5	34.5	35.3	40.3	41.2	43.1	43.3	44.4	45.2	45.8	45.9	46.7	47.6	48.0	30.8	35.2	40.6	44.9	47.1
Net Margin	24.8	25.0	21.4	24.8	28.8	21.6	26.7	27.1	26.4	31.9	31.3	32.9	33.2	34.3	35.0	35.6	35.8	36.5	37.2	37.6	24.0	26.0	31.1	34.7	36.9
Sequential Growth (%)																									
Revenue	-8.3	18.7	5.6	23.0	7.5	9.0	-2.2	4.0	0.6	37.1	32.9	7.4	8.2	28.0	24.5	11.6	5.6	12.0	11.1	13.3					
Gross Profit	-9.1	31.2	3.7	21.7	28.0	0.7	-8.1	10.1	1.9	53.6	34.3	8.3	10.3	30.7	26.4	12.4	6.0	13.5	12.7	13.9					
EBIT	-11.5	44.7	1.9	25.7	36.7	2.0	-12.7	11.0	2.9	62.0	37.8	12.8	9.1	32.2	27.7	13.2	5.9	14.2	13.6	14.5					
EPS	48.3	18.0	-9.6	42.1	25.2	-18.2	20.9	2.7	-2.2	65.8	30.5	12.7	9.4	32.1	27.2	13.4	6.1	14.3	13.2	14.6					
YoY Growth (%)																									
Revenue	1.4	19.8	9.7	41.5	65.9	52.3	41.1	19.3	11.6	40.4	90.7	96.9	111.7	97.6	85.0	92.4	87.6	64.2	46.6	48.8	18.4	42.0	60.9	94.5	58.5
Gross Profit	8.3	49.6	22.0	50.6	112.0	62.7	44.2	30.4	3.8	58.4	131.4	127.8	146.4	109.6	97.2	104.6	96.7	70.9	52.4	54.4	32.7	57.2	79.6	109.6	64.8
EBIT	7.8	70.5	26.8	64.0	153.2	78.6	53.0	35.2	1.8	61.8	155.3	159.3	174.9	124.3	107.7	108.6	102.3	74.8	55.5	57.2	41.9	71.1	92.5	120.8	68.3
EPS	41.1	46.9	0.6	125.0	90.0	31.6	76.0	27.1	-0.7	101.4	117.3	138.6	166.7	112.5	107.1	108.3	102.0	74.8	55.6	57.4	46.7	52.4	88.6	117.0	68.3
Segment QoQ growth (%)																									
Thermal module	-11	22	13	32	11	12	-7	4	0	44	41	9	10	32	28	13	7	12	11	14	26	58	71	116	64
Server ILM and socket	-7	39	-9	-7	-3	23	4	11	-10	12	14	-3	-14	28	2	2	-18	23	4	4	4	16	21	12	8
Lead frame	-1	-12	4	-15	2	9	1	2	2	27	11	0	0	0	0	0	0	0	0	0	-6	-4	35	11	0
Comm. connectors	-35	-7	9	35	-78	51	152	-40	57	-13	8	0	0	0	0	0	0	0	0	0	-20	-40	55	0	0
Others	9	52	-19	41	14	-19	23	5	4	25	1	0	0	0	0	0	0	0	0	0	47	39	34	6	0
Segment Mix (%)																									
Thermal module	60	62	66	71	73	75	72	72	72	75	80	81	82	85	88	88	89	89	89	90	66	73	78	86	89
Server ILM and socket	9	11	9	7	6	7	7	8	7	6	5	4	4	4	3	3	2	2	2	2	9	7	5	3	2
Lead frame	19	14	14	10	9	9	9	9	9	9	7	7	6	5	4	4	3	3	3	2	14	9	8	4	3
Comm. connectors	2	2	2	2	0	1	2	1	1	1	1	1	1	0	0	0	0	0	0	0	2	1	1	0	0
Others	9	12	9	10	11	8	10	10	11	10	7	7	6	5	4	4	3	3	3	2	10	10	8	4	3

Source: Company data, J.P. Morgan estimates.

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Table 4: Balance sheet

	2024				2025				2026E				2027E				2028E				2024	2025	2026E	2027E	2028E
(NT$ in million, year-end December)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE					
Cash and Cash Equivalents	5,106	5,221	3,407	2,267	3,458	9,327	8,155	9,292	10,413	11,428	12,108	15,979	20,264	17,095	22,016	28,593	34,663	28,695	38,188	48,032	2,267	9,292	15,979	28,593	48,032
Account Receivables	2,657	3,086	3,262	4,061	4,462	4,671	5,237	5,414	5,443	6,759	8,262	8,531	9,230	11,655	13,721	15,315	17,321	19,134	20,113	22,786	4,061	5,414	8,531	15,315	22,786
Inventory	2,503	2,791	3,100	3,062	3,524	3,294	3,351	3,652	4,403	5,044	6,145	6,599	7,140	9,137	11,372	12,693	13,398	15,001	16,669	18,885	3,062	3,652	6,599	12,693	18,885
Total Other Current Assets	134	170	128	105	198	162	195	209	220	217	355	377	400	494	639	709	744	831	929	1,051	105	209	377	709	1,051
Total Current Assets	**10,399**	**11,267**	**9,897**	**9,495**	**11,643**	**17,454**	**16,938**	**18,567**	**20,478**	**23,449**	**26,871**	**31,485**	**37,034**	**38,382**	**47,748**	**57,310**	**66,125**	**63,662**	**75,900**	**90,754**	**9,495**	**18,567**	**31,485**	**57,310**	**90,754**
Gross Fixed Assets	9,527	9,643	9,688	9,777	12,563	12,480	12,723	12,977	13,320	13,713	14,106	14,524	14,867	15,235	15,627	16,045	16,388	16,756	17,149	17,567	9,777	12,977	14,524	16,045	17,567
Accumulated Depreciation	4,686	4,808	4,900	5,001	5,096	5,047	5,238	5,414	5,632	5,811	5,996	6,186	6,384	6,586	6,793	7,006	7,226	7,451	7,681	7,917	5,001	5,414	6,186	7,006	7,917
Construction in Progress	68	78	78	76	213	263	427	510	841	865	894	922	953	977	1,003	1,032	1,063	1,087	1,113	1,141	76	510	922	1,032	1,141
Acquisition/(Divestures)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net Fixed Assets	4,909	4,912	4,866	4,852	7,679	7,695	7,912	8,073	8,529	8,767	9,004	9,260	9,436	9,626	9,838	10,071	10,225	10,392	10,581	10,791	4,852	8,073	9,260	10,071	10,791
Other Long Term Assets	1,138	1,483	1,650	3,589	849	881	978	1,103	1,004	1,101	1,046	1,063	1,054	1,066	1,057	1,060	1,059	1,061	1,059	1,060	3,589	1,103	1,063	1,060	1,060
Long Term Investments and Associates	521	678	547	527	497	454	262	226	297	66	66	66	66	66	66	66	66	66	66	66	527	226	66	66	66
Total Long Term Assets	**6,569**	**7,073**	**7,063**	**8,967**	**9,025**	**9,030**	**9,153**	**9,402**	**9,830**	**9,934**	**10,117**	**10,389**	**10,556**	**10,758**	**10,961**	**11,197**	**11,350**	**11,519**	**11,706**	**11,917**	**8,967**	**9,402**	**10,389**	**11,197**	**11,917**
Total Assets	**16,968**	**18,340**	**16,960**	**18,462**	**20,668**	**26,483**	**26,090**	**27,969**	**30,307**	**33,383**	**36,987**	**41,874**	**47,590**	**49,140**	**58,710**	**68,507**	**77,476**	**75,180**	**87,606**	**102,671**	**18,462**	**27,969**	**41,874**	**68,507**	**102,671**
ST Debt and Current Portion of LT Debt	478	470	70	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Accounts Payable	1,128	1,346	1,255	1,552	1,931	1,688	1,686	1,841	2,200	2,778	3,272	3,617	3,951	4,906	5,925	6,631	6,987	7,685	8,402	9,481	1,552	1,841	3,617	6,631	9,481
Other Current Liabilities	2,863	3,032	1,651	1,868	4,366	4,372	2,450	2,612	6,268	6,360	6,362	7,510	9,183	10,913	13,149	15,119	16,146	17,797	19,744	22,506	1,868	2,612	7,510	15,119	22,506
Total Current Liabilities	**4,470**	**4,848**	**2,975**	**3,420**	**6,297**	**6,060**	**4,137**	**4,453**	**8,468**	**9,138**	**9,634**	**11,128**	**13,134**	**15,819**	**19,074**	**21,750**	**23,133**	**25,482**	**28,146**	**31,986**	**3,420**	**4,453**	**11,128**	**21,750**	**31,986**
Long Term Debt	329	317	0	0	0	4,517	2,219	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Long Term Liabilities	403	381	389	384	394	407	435	451	442	438	521	505	485	555	603	621	673	718	727	775	384	451	505	621	775
Total Long Term Liabilities	**733**	**699**	**389**	**384**	**394**	**4,923**	**2,654**	**451**	**442**	**438**	**521**	**505**	**485**	**555**	**603**	**621**	**673**	**718**	**727**	**775**	**384**	**451**	**505**	**621**	**775**
Total Liabilities	**5,202**	**5,546**	**3,364**	**3,804**	**6,691**	**10,983**	**6,791**	**4,904**	**8,910**	**9,576**	**10,156**	**11,633**	**13,620**	**16,374**	**19,677**	**22,371**	**23,806**	**26,200**	**28,873**	**32,761**	**3,804**	**4,904**	**11,633**	**22,371**	**32,761**
Total Equity	**11,765**	**12,794**	**13,596**	**14,658**	**13,977**	**15,500**	**19,300**	**23,065**	**21,397**	**23,807**	**26,832**	**30,241**	**33,970**	**32,766**	**39,033**	**46,136**	**53,670**	**48,980**	**58,733**	**69,910**	**14,658**	**23,065**	**30,241**	**46,136**	**69,910**

Source: Company data, J.P. Morgan estimates.

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Table 5: Cash flow statement

Cash flow statement															
NT$ in billions, year-end Dec	**FY14A**	**FY15A**	**FY16A**	**FY17A**	**FY18A**	**FY19A**	**FY20A**	**FY21A**	**FY22A**	**FY23A**	**FY24A**	**FY25A**	**FY26E**	**FY27E**	**FY28E**
Net Income	0.4	0.2	0.2	0.2	0.5	0.8	0.9	1.2	2.6	2.3	3.4	5.3	10.2	22.0	37.1
Depr. & Amortisation	0.3	0.3	0.3	0.2	0.2	0.2	0.4	0.4	0.5	0.5	0.6	0.6	0.7	0.8	0.9
Change in working capital	-0.1	0.1	0.0	-0.3	-0.2	0.0	-0.5	-0.9	-0.3	0.5	-0.9	-1.0	0.4	-2.6	-3.8
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash flow from operations	0.6	0.6	0.5	0.2	0.5	1.0	0.7	0.7	2.7	3.3	3.1	4.9	11.3	20.3	34.2
Capex	-0.3	-0.1	-0.1	-0.2	-0.7	-0.5	-2.1	-0.8	-0.7	-0.7	-0.6	-3.9	-1.9	-1.6	-1.6
Disposal/ (purchase)	0.0	0.0	0.0	-0.2	0.1	-0.2	-0.3	0.0	-0.8	-0.2	-2.5	2.8	0.2	0.0	0.0
Cash flow from investing	-0.2	-0.1	-0.1	-0.4	-0.6	-0.6	-2.3	-0.7	-1.5	-0.9	-3.1	-1.1	-1.7	-1.6	-1.6
Free cash flow	0.3	0.5	0.4	0.0	-0.2	0.5	-1.3	0.0	2.0	2.6	2.5	1.0	9.4	18.6	32.6
Equity raised/ (repaid)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Debt raised/ (repaid)	0.0	0.1	-0.1	0.3	0.4	-0.7	2.3	0.8	-0.9	-1.4	-0.7	0.0	0.0	0.0	0.0
Other	0.1	-0.1	0.0	0.0	0.3	0.7	1.3	0.2	0.6	1.2	0.3	5.3	0.3	0.1	0.2
Dividends paid	-0.3	-0.4	-0.3	-0.2	-0.2	-0.4	-0.6	-0.7	-0.7	-1.6	-1.4	-2.1	-3.2	-6.1	-13.3
Cash flow from financing	-0.2	-0.4	-0.3	0.1	0.5	-0.4	3.0	0.3	-1.0	-1.8	-1.8	3.2	-2.9	-6.0	-13.1
Net change in cash	0.2	0.1	0.1	-0.2	0.4	-0.1	1.5	0.2	0.2	0.6	-1.9	7.0	6.7	12.6	19.4
Beginning cash	1.2	1.3	1.4	1.5	1.3	1.7	1.7	3.1	3.4	3.6	4.2	2.3	9.3	16.0	28.6
Ending cash	1.3	1.4	1.5	1.3	1.7	1.7	3.1	3.4	3.6	4.2	2.3	9.3	16.0	28.6	48.0

Source: Company data, J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Jentech Precision Industrial Co. *(Overweight; Price Target: NT $7,500.00)*

Investment Thesis
Jentech (OW) is the largest packaging-level cooling component maker worldwide, with leading production capabilities across heat spreader products (including stiffener and all kinds of lids). We expect the company to show a ~80% EPS CAGR over 2024-28, driven by solid heat spreader content growth in future-gen AI chips and increasing TAM into new solutions (e.g. CPO switch ASIC). In addition, the company is reinforcing its product portfolio with new offerings in cold plate and CPU server sockets for chip customers. We believe Jentech's technology leadership in the structural cooling upgrade trend and its new TAM expansion will continue to support its superior earnings power in the long term.

Valuation
Our Dec-27 PT of NT$7,500 is based on 30x 2028E P/E, which is largely in line with Jentech's three-year average P/E when the AI server boom started.

Risks to Rating and Price Target
Downside risks to our rating and price target include: 1) Potential delay in mainstream 3-piece/removable lid design adoption, and 2) market share loss from competition.

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Jentech Precision Industrial Co.: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**14,278**	**20,276**	**32,624**	**63,454**	**100,591**
COGS	(8,913)	(11,842)	(17,477)	(31,707)	(48,264)
Gross profit	**5,365**	**8,434**	**15,147**	**31,747**	**52,327**
SG&A	(969)	(1,196)	(1,663)	(2,782)	(3,924)
Adj. EBITDA	**4,395**	**7,146**	**13,259**	**28,465**	**47,418**
D&A	(597)	(648)	(750)	(848)	(942)
Adj. EBIT	**3,799**	**6,498**	**12,509**	**27,617**	**46,477**
Net Interest	83	54	143	264	455
Adj. PBT	**4,245**	**6,607**	**12,762**	**27,881**	**46,932**
Tax	(830)	(1,297)	(2,594)	(5,855)	(9,856)
Minority Interest	-	-	-	-	-
Adj. Net Income	**3,428**	**5,277**	**10,151**	**22,026**	**37,076**
Reported EPS	24.07	36.68	69.18	150.11	252.68
Adj. EPS	**24.07**	**36.68**	**69.18**	**150.11**	**252.68**
DPS	**10.00**	**14.50**	**21.72**	**41.78**	**90.66**
Payout ratio	41.5%	39.5%	31.4%	27.8%	35.9%
Shares outstanding	142	144	147	147	147

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,267	9,292	15,979	28,593	48,032
Accounts receivable	4,061	5,414	8,531	15,315	22,786
Inventories	3,062	3,652	6,599	12,693	18,885
Other current assets	105	209	377	709	1,051
Current assets	**9,495**	**18,567**	**31,485**	**57,310**	**90,754**
PP&E	4,852	8,073	9,260	10,071	10,791
LT investments	527	226	66	66	66
Other non current assets	3,589	1,103	1,063	1,060	1,060
Total assets	**18,462**	**27,969**	**41,874**	**68,507**	**102,671**
Short term borrowings	0	0	0	0	0
Payables	1,552	1,841	3,617	6,631	9,481
Other short term liabilities	1,868	2,612	7,510	15,119	22,506
Current liabilities	**3,420**	**4,453**	**11,128**	**21,750**	**31,986**
Long-term debt	0	0	0	0	0
Other long term liabilities	384	451	505	621	775
Total liabilities	**3,804**	**4,904**	**11,633**	**22,371**	**32,761**
Shareholders' equity	14,658	23,065	30,241	46,136	69,910
Minority interests	-	-	-	-	-
Total liabilities & equity	**18,462**	**27,969**	**41,874**	**68,507**	**102,671**
BVPS	**102.56**	**157.19**	**206.10**	**314.42**	**476.45**
y/y Growth	*17.1%*	*53.3%*	*31.1%*	*52.6%*	*51.5%*
Net debt/(cash)	(2,267)	(9,292)	(15,979)	(28,593)	(48,032)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**3,065**	**4,892**	**11,320**	**20,257**	**34,219**
o/w Depreciation & amortization	597	648	750	848	942
o/w Changes in working capital	(939)	(1,014)	443	(2,589)	(3,768)
Cash flow from investing activities	**(3,109)**	**(1,064)**	**(1,713)**	**(1,628)**	**(1,631)**
o/w Capital expenditure	(595)	(3,851)	(1,912)	(1,631)	(1,631)
as % of sales	*4.2%*	*19.0%*	*5.9%*	*2.6%*	*1.6%*
Cash flow from financing activities	**(1,844)**	**3,197**	**(2,920)**	**(6,015)**	**(13,149)**
o/w Dividends paid	(1,408)	(2,072)	(3,187)	(6,131)	(13,302)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	(741)	0	0	0	0
Net change in cash	**(1,888)**	**7,024**	**6,687**	**12,614**	**19,439**
Adj. Free cash flow to firm	**2,470**	**1,041**	**9,408**	**18,625**	**32,588**
y/y Growth	*(4.8%)*	*(57.8%)*	*803.6%*	*98.0%*	*75.0%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	37.6%	41.6%	46.4%	50.0%	52.0%
EBITDA margin	30.8%	35.2%	40.6%	44.9%	47.1%
EBIT margin	26.6%	32.0%	38.3%	43.5%	46.2%
Net profit margin	24.0%	26.0%	31.1%	34.7%	36.9%
ROE	25.4%	28.0%	38.1%	57.7%	63.9%
ROA	20.0%	22.7%	29.1%	39.9%	43.3%
ROCE	22.0%	27.7%	37.4%	57.1%	63.3%
SG&A/Sales	6.8%	5.9%	5.1%	4.4%	3.9%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	0.8	0.9	0.9	1.1	1.2
Assets/Equity (x)	1.3	1.2	1.3	1.4	1.5
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	228.1%	169.2%	151.9%	127.8%	116.7%
Tax rate	19.6%	19.6%	20.3%	21.0%	21.0%
Revenue y/y Growth	18.4%	42.0%	60.9%	94.5%	58.5%
EBITDA y/y Growth	36.8%	62.6%	85.5%	114.7%	66.6%
EPS y/y Growth	46.7%	52.4%	88.6%	117.0%	68.3%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	286.4	188.0	99.7	45.9	27.3
P/BV (x)	67.2	43.9	33.5	21.9	14.5
EV/EBITDA (x)	222.8	136.1	72.8	33.5	19.7
Dividend Yield	0.1%	0.2%	0.3%	0.6%	1.3%

Source: Company reports and J.P. Morgan estimates.
Note: NT$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Date	Rating	Price (NT$)	Price Target (NT$)
29-Sep-25	OW	2195.00	3,650
10-Mar-26	OW	3180.00	3,800
16-Mar-26	OW	3245.00	4,500
20-Apr-26	OW	4565.00	5,300
19-May-26	OW	3270.00	5,000
25-Jun-26	OW	3640.00	5,650
17-Aug-26	OW	4855.00	6,200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 29, 2025. All share prices are as of market close on the previous business day.

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